



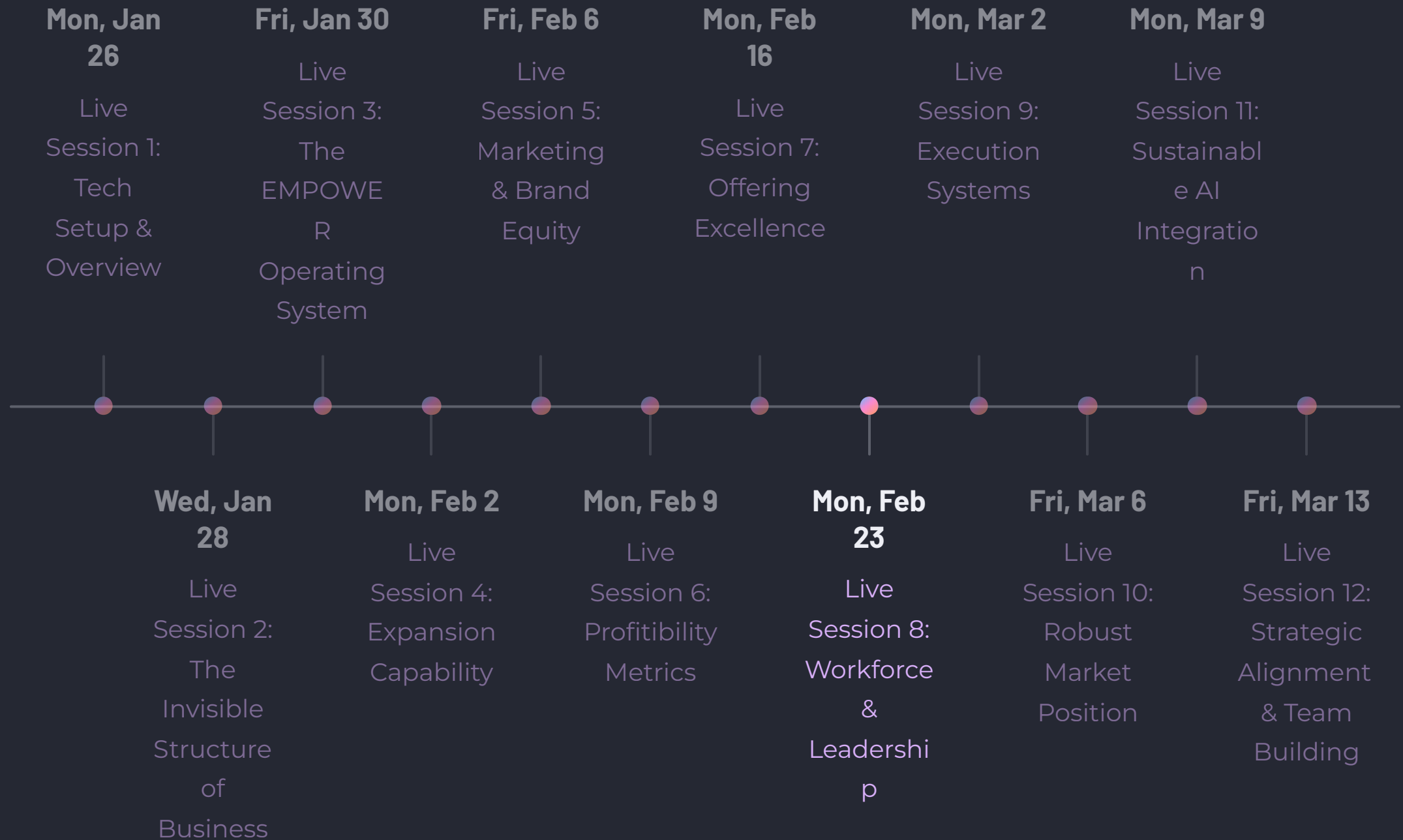
EMPOWER Labs

Session 8: Workforce & Leadership

Today, we'll cover the "W" in EMPOWER – **Workforce & Leadership** – including the connection between people management and business valuation.

We'll address the core challenges of workforce management and provide AI-enhanced solutions to **help you build a high-performing team that operates effectively** even when you're not present.

Program Timeline



Milestones: Where You Should Be at This Point



Ran the Assessment (Lead to Sale)

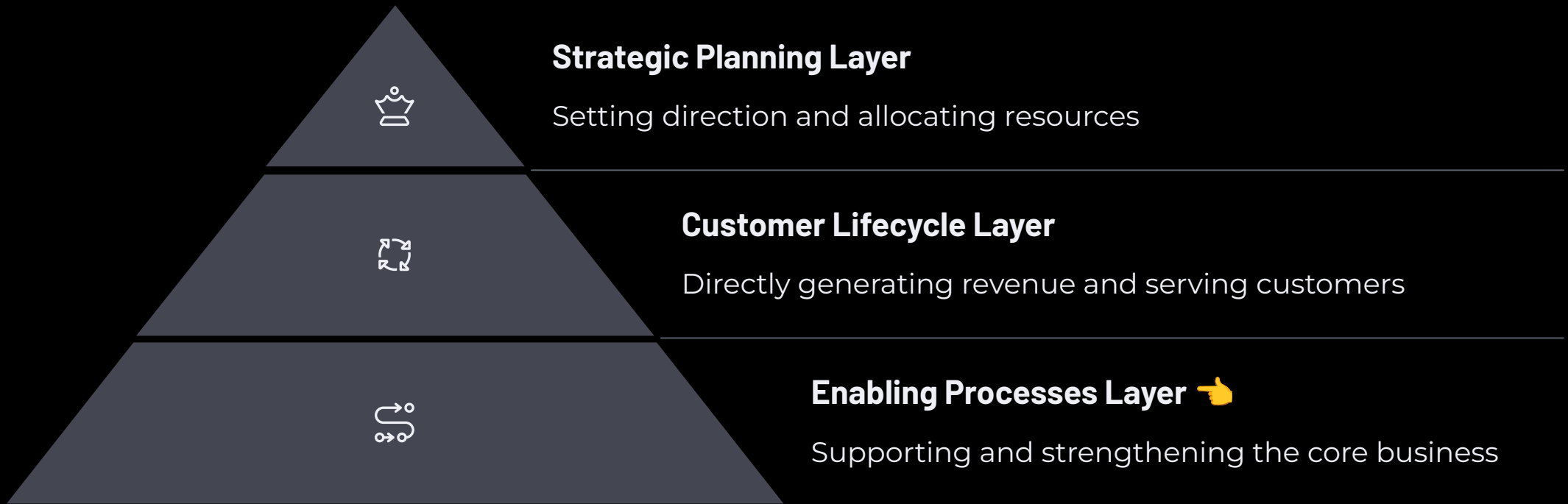


Create the Level 1 & 2 SOP (Lead to Sale) (Optional)



Poll: Have you completed the exercises up until this session? (excl. optional exercises)

3 Layers of Business Process





Workforce Management Transformation in 3 Parts

1. Leadership Structure & Delegation

Distribute decision-making authority effectively to prevent bottlenecks and empower your team.

2. Hiring & Performance Management

Get the right people, keep them performing at their best, and ensure accountability throughout the organization.

3. Employee Development & Retention

Invest in your people to help them grow while keeping them engaged and committed.



Part 1: Leadership Structure & Delegation

The Owner Dependency Problem

Most business owners become the bottleneck to growth because they:

Centralize Decision-Making

Nothing moves without owner approval, creating delays and frustration. Team members feel disempowered and stop taking initiative.

Hoard Critical Knowledge

Important information lives primarily in the owner's head, making the business vulnerable when the owner is unavailable and preventing others from making informed decisions.

Maintain Perfectionist Standards

The belief that "no one can do it as well as I can" prevents effective delegation and creates a self-fulfilling prophecy as team members aren't given opportunities to develop.

Lack Delegation Frameworks

Without systematic approaches to letting go of responsibilities, attempts at delegation become inconsistent and often revert back to owner control during stress.

What Leadership Team Membership Means

Requirements for Leadership Team

Process ownership with accountability for reporting on process success metrics.

Transformational goals in the form of Rocks/OKRs that drive significant improvement.

Enough time for knowledge work - Leaders need capacity for strategic thinking and planning, not just execution.

Active contribution to leadership meetings and off-sites, bringing insights and solutions, not just updates.

Business finance literacy including understanding of P&L statements & how their area impacts company financials.

Owner-aligned compensation with incentives tied to business performance to create shared interests.

Key Insight: Leadership team members are **process owners**, not just senior employees.

Leadership Team as Process Owners

The Structure

Hire to Retire

Represents employee interests throughout the employment lifecycle, including recruitment, development, engagement, and transition processes.

GM/CEO

Balances all stakeholder interests, including overall strategy, culture, and alignment across all processes.



Financial Performance

Represents ownership interests in profitability and sustainability, including financial planning, reporting, cash flow, and capital allocation.

Market to Lead + Lead to Sale

Represents customer/market needs in marketing and sales processes, including lead generation, conversion, and customer acquisition.

Sale to Delivery + Delivery to Success

Represents quality interests in fulfillment and customer success, including product/service delivery and ongoing customer satisfaction.

Each role owns the success metrics and improvement of their core process. They serve as a "strong advocate" for their stakeholder but remain team players for the whole business. If you don't have this structure in place, consider prompting AI to act as each of these roles in a weekly meeting.

AI-Enhanced Leadership & Delegation

AI Leverage Opportunities

Meeting Optimization

AI handles meeting preparation, agenda creation, real-time facilitation assistance, and automated follow-up documentation.

Decision Support Systems

AI provides data-driven recommendations based on historical patterns, market trends, and internal performance data.

Performance Tracking

Automated systems continuously update scorecards and dashboards with real-time performance data, highlighting exceptions that require leadership attention.

Strategic Planning

AI assists with scenario planning, OKR setting, and strategy development by analyzing market data, competitive intelligence, and internal capabilities.

Manager coaching

AI provides real-time feedback on management decisions.

RACI Process Analysis with AI

Key Questions for AI Analysis

Responsibility Distribution

Who has too much responsibility and accountability across multiple processes?

Process Ownership Gaps

Who should own more processes based on their skills, capacity, and development needs?

Delegation Opportunities

What can be delegated or automated to free up leadership capacity?

AI Role Integration

How should roles shift as AI takes over certain tasks?

-  Use AI to **optimize decision rights, workload distribution, and skill development priorities** across your organization, creating a more balanced and effective team structure.

Process Ownership Connection Model

The Framework



Roles have...



Responsibilities, which are tied to...



Processes, which have...



Success Metrics

Processes have RACI - Who has too much responsibility and accountability? Who should own more? This analysis helps optimize workload distribution and clarify decision rights.

Clear connection from individual work to business outcomes so everyone understands how their efforts contribute to organizational success.

Organizational Design: Clarity Boards

The Employee Dashboard

One-stop shop for everything employees need:

- Personal meetings schedule and communication cadences
- Detailed role responsibilities and expected outcomes
- Links to all processes they're involved in with documentation
- Access to the complete employee handbook
- Reminders of Mission, Vision, Values and core values
- Performance metrics and development resources

① These comprehensive information hubs should be **bookmarked and made each employee's homepage**, ensuring constant access to critical information and reinforcing organizational alignment.



Part 2: Hiring & Performance Management

AI-First Culture Shift

Speed + Quality Standards

AI enables both faster AND better work

Reset Expectations for Deliverable Speed

Establish new baseline expectations for deliverable speed, with 2-10x improvements expected.

Raise Quality Bars

AI should elevate output quality, not excuse mediocrity.

Create Accountability

Make effective AI adoption a performance expectation, not just an option.

Celebrate AI Enhancement

Recognize achievements that demonstrate new capability levels through AI adoption.



Fire Fast Philosophy

Critical Success Factor: This attribute is most correlated with entrepreneurial success.

To implement this effectively:

Clear Standards

Set unambiguous expectations for performance

AI Coaching

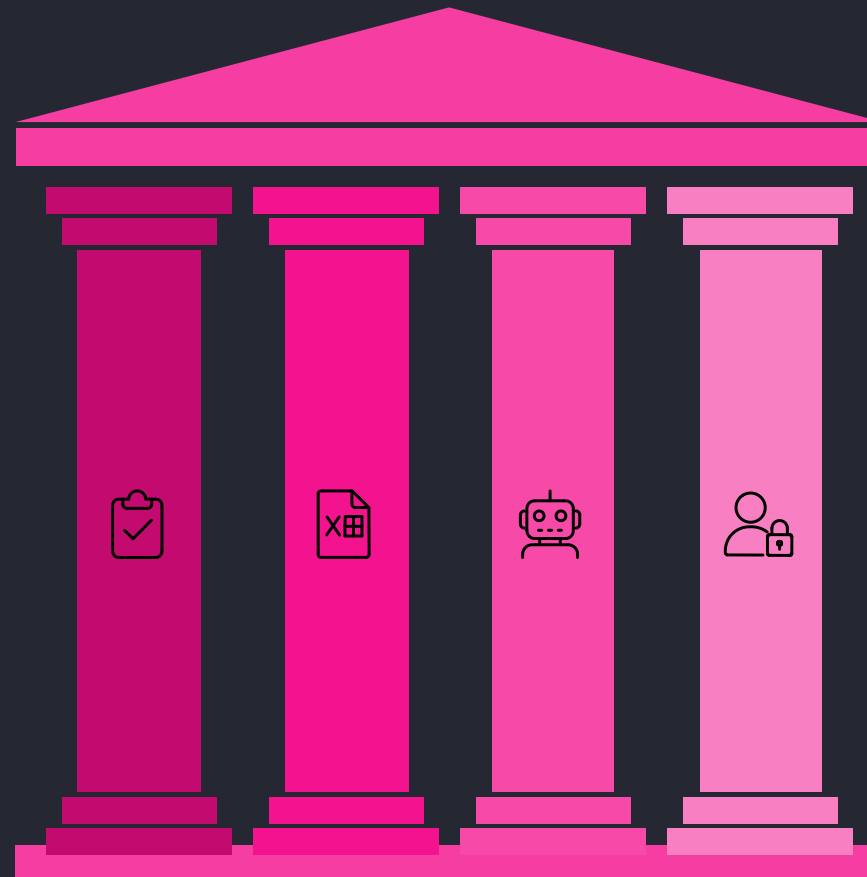
Use AI to prepare for difficult conversations

Document Issues

Record problems promptly and thoroughly

Team Impact

Recognize how underperformance affects morale



- ① Speed of decision matters - **Delayed action hurts everyone** including the struggling employee, who could find a better fit elsewhere.

Breakout Discussion

Take 10 minutes in groups of 3-4 to discuss:

What's one performance conversation you need to have right now?



Elevated Quality Standards with AI

Quality Enhancement Requirements

Higher Quality, Not Just Speed

AI should enable superior work quality, not just faster completion. Output should exceed pre-AI quality benchmarks in accuracy, depth, and completeness.

Zero Tolerance for Unreviewed AI Errors

Implement a strict policy requiring human review of AI-generated content before finalization. AI assistance does not remove responsibility for accuracy.

Raising the Bar

Revise quality standards upward to reflect AI capabilities. What was once considered excellent work may now be merely adequate.

Acceleration, Not Excuses

AI is a tool for enhancement, not a justification for lower standards. Communicate this principle clearly to all team members.

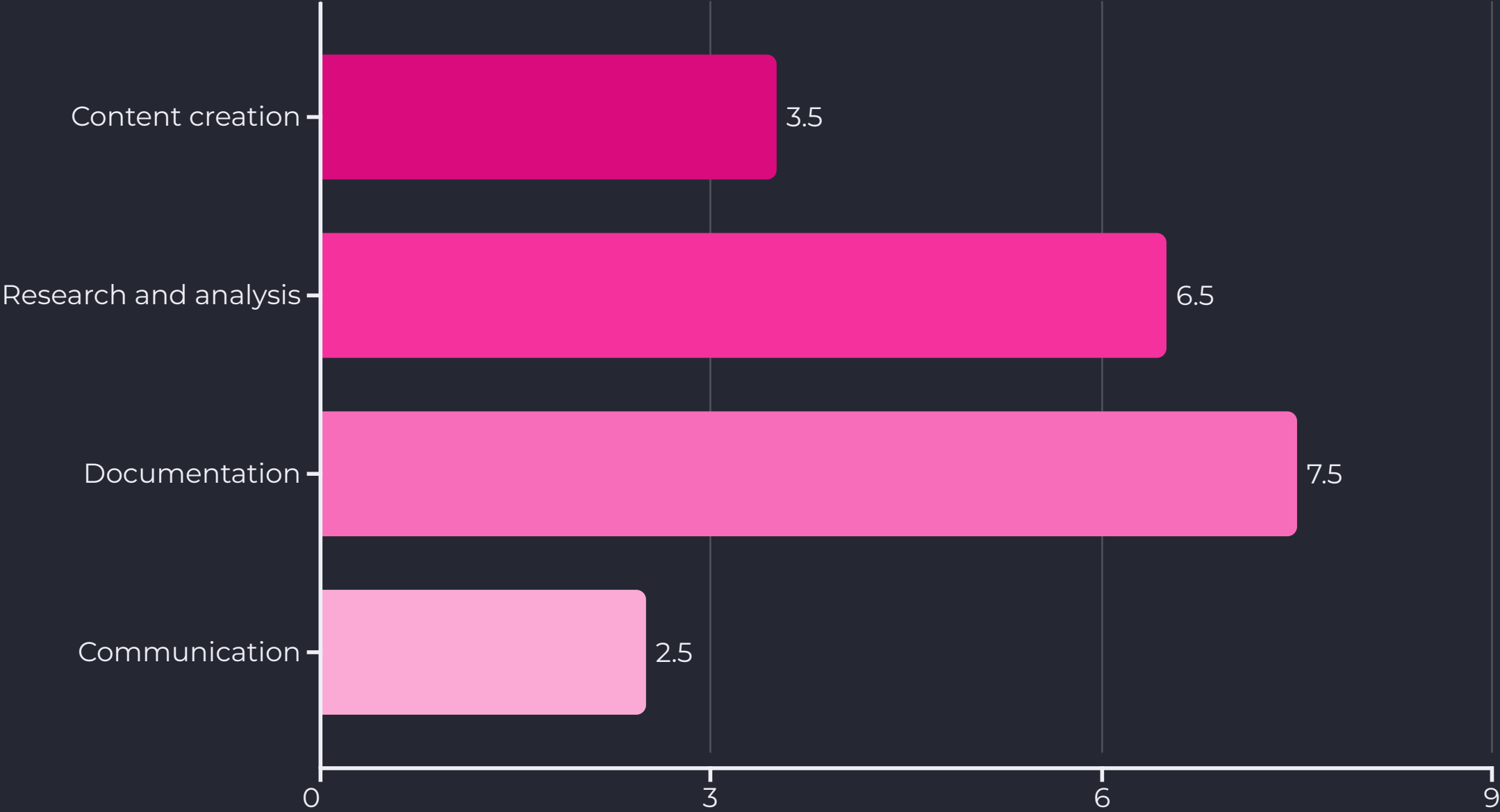
 **Bottom Line:** Speed AND quality must both improve with AI adoption.

Most businesses today are simply constraining their hiring to see if AI can do the job before making a hiring decision. This is a stop-gap solution until they understand and communicate the new standards.

AI-First Performance Standards

Critical: Without updated standards, productivity gains won't reach the company (Parkinson's Law).

New Speed Standards



i These multipliers represent the **expected productivity increase when properly leveraging AI tools in each area.** Your performance standards must be updated to reflect these new capabilities.

Performance Management Framework

Regular Performance Cycles

1 Monthly 1-on-1s

Regular check-ins between managers and direct reports focused on ongoing feedback, support, and course correction. These conversations build trust and prevent issues from festering.

2 Quarterly Performance Reviews

Formal evaluation against established goals, using a consistent topgrading-style approach. These reviews should be documented and include both achievements and development areas.

3 Annual Performance Calibration

Leadership-level review to ensure consistent rating standards and fair compensation decisions across departments and managers.

❗ Complement these structured cycles with a **real-time feedback culture** where constructive input is shared immediately rather than saved for formal reviews.



Performance Documentation Systems

Documentation Requirements

Clear Performance Standards

Every role needs documented expectations that define what success looks like.

Regular Feedback Documentation

Create a system to track ongoing feedback, progress notes, and performance discussions.

Performance Improvement Plans (PIPs)

Develop a systematic approach to addressing underperformance with clear expectations, timelines, and support resources.

360-Degree Feedback

Implement a process to gather performance input from multiple sources including peers, direct reports, and cross-functional partners.

Manager Training Requirements

Essential Manager Skills



Performance Conversation Skills

Practical training on how to deliver effective feedback, have difficult conversations, and coach for improvement.



Performance Coaching

Skills development in coaching employees for improvement rather than simply managing poor performers out.



Documentation Standards

Training on proper performance documentation that meets both legal requirements and practical needs.



AI-Enhanced Performance Analysis

Training on using data and AI tools to improve the quality and objectivity of performance conversations.

Individual Accountability Systems

Goal Setting & Tracking

Individual Success Metrics must be directly tied to company scorecard metrics.

Weekly goal review in 1-on-1s and team standups provides regular accountability and opportunity to address obstacles early.

Performance-based compensation decisions establish a clear link between results and rewards, reinforcing the importance of accountability.

Career development integration connects performance to advancement opportunities, showing the path forward for high performers.

Key Principle: Individual performance **must connect to business results**, not just activity metrics. Track outcomes, not just efforts.

Systematic Underperformance Management

The Process



Remember: The goal is improvement first, termination only when improvement fails. But don't drag out the process - set clear timelines and stick to them.



Part 3: Employee Development & Retention

The Retention Crisis Problems

Career Ceiling

Without clear progression paths, talented employees hit a growth ceiling and leave for better opportunities.

Development Stagnation

Limited learning opportunities cause skills to stagnate, leading to boredom and disengagement.

Poor Manager Quality

The common practice of promoting top individual performers into management without proper training creates frustrated managers and disengaged teams.

Engagement Blindness

Without systematic measurement, companies remain unaware of engagement issues until exit interviews - far too late to retain valuable talent.

❗ Critical Insight: Most employee departures are preventable with proper systems. [Research](#) shows that 52% of voluntarily exiting employees say their manager or organization could have done something to prevent them from leaving.

Systematic Employee Engagement Management

The Proactive Engagement Framework:



Monthly Pulse Surveys

Brief 3-5 question surveys that provide regular insight into team sentiment and engagement levels.



Stay Interviews

Quarterly conversations with high performers focused on what keeps them engaged and what might cause them to leave.



Engagement Action Planning

Systematic response to survey results and stay interview insights.



Early Warning System

AI identifies engagement risks before they become retention issues, allowing for proactive intervention.



Key Engagement Metrics

Overall Engagement Score

Track organization-wide engagement levels via monthly pulse surveys to identify trends and patterns.

Growth Satisfaction

Measure employee satisfaction with career development opportunities to prevent talent loss.

Manager Rating

Monitor how employees rate their managers to identify leadership effectiveness and potential management training needs.

Recognition Frequency

How often do people feel appreciated?



Key idea: Track trends, not snapshots.

AI-Enhanced Employee Engagement

AI Leverage Opportunities

Sentiment Analysis: AI tools can monitor team communication channels for engagement signals, detecting shifts in tone, enthusiasm, and participation.

Engagement Prediction: AI systems can identify potential flight risks 30-60 days before traditional indicators appear.

Personalized Recognition: AI can suggest recognition opportunities based on individual achievements and milestones.

Manager Coaching: AI assistants can provide real-time feedback to managers on their effectiveness.

- ⓘ These AI capabilities **don't replace human judgment and connection** but rather enhance a manager's ability to maintain engagement across larger teams and identify issues that might otherwise go unnoticed until too late.

Recognition Systems Beyond Values

Multi-Faceted Recognition



Achievement Recognition

Celebrate specific goal completions and project milestones.



Peer Recognition

Implement systems for team members to nominate and recognize each other.



Learning Recognition

Acknowledge skill development and training completion.



Innovation Recognition

Reward process improvements and creative solutions.

i Frequency Matters: Recognition should happen weekly, not just annually.



Development Framework

Core Components

Career Progression Charts - Create visual representations of growth paths with clear levels and associated pay upgrades.

Continuing Education - Implement a weekly learning mix including book clubs, AI training, and process improvement education.

First-Time Manager Training - Require everyone to read "Radical Candor" and implement its core principle of challenging directly while caring personally.

Community/Volunteering - Incorporate team building beyond work through community service and volunteering opportunities.

Manager Development Strategy

Critical Approach

Don't promote top individual contributors as first-time managers if you can help it.

This common practice **creates two problems simultaneously**: you lose your best individual performer, and you gain an untrained manager.

Instead

- 1 Develop management skills before promotion** by providing leadership opportunities on projects, mentoring responsibilities, and formal training in supervision basics.
- 2 Separate technical excellence from management capability** in your evaluation and promotion criteria.
- 3 If promotion is necessary**, provide comprehensive management training before the transition, including communication skills, performance management, delegation, and coaching techniques.

i Management is a different skill set - Plan accordingly and treat it as a career change, not just a promotion.

AI-Enhanced Employee Development

AI Leverage Opportunities



Personalized Development

AI creates individual growth paths based on current skills, career aspirations, and organizational needs.



Engagement Analysis

AI predicts retention issues by analyzing communication patterns, performance data, and engagement signals.



Onboarding Automation

AI builds personalized learning paths for new hires based on role requirements and individual background.



Performance Coaching

AI provides real-time feedback to managers on their communication and leadership effectiveness.



Skills Gap Analysis

AI identifies training needs across the organization by comparing current capabilities with future requirements.

Career Progression with AI

AI-Powered Development

AI can transform traditional career ladders into dynamic, personalized growth experiences by:

Analyzing skill requirements for each level with precision, creating clear competency maps based on role success patterns.

Creating personalized learning paths that account for individual strengths, development areas, and learning preferences.

Tracking progress against competencies in real-time.

Suggesting optimal timing for promotions based on comprehensive readiness assessments.

i Implementation: Use AI to create visual career progression charts that employees can track against, with clear milestones and skill development recommendations.

Implementation Requirements for the AI Era

Organizational Updates

Dynamic Job Descriptions

Implement regular review cycles or even dynamic updates that reflect changing tool capabilities and role requirements.

Evolving Performance Standards

Expectations must continuously adapt with AI capabilities.

AI-Aware Career Progression

Career advancement paths must account for how AI changes skill requirements and value creation opportunities.

Value-Based Compensation

Compensation systems should reflect new value creation patterns rather than traditional time-based models.

 **Bottom Line:** AI productivity gains are organizational, not just individual - but only if you redesign the roles and expectations systematically across the entire company.

Part 4: Common Pitfalls & Takeaways

Pitfalls to Avoid

- **Promoting without training**

Moving top individual contributors to management without proper preparation

- **Keeping poor performers too long**

"Fire fast" correlates strongly with business success

- **Inconsistent hiring**

"Winging it" with each new position rather than using systematic approaches

- **Owner bottlenecks**

Delegation without true authority transfer

Pitfalls to Avoid (cont.)

- **Binary Performance Thinking**

Most companies only manage performance at hiring and firing points.

- **Reactive Culture Work**

Addressing culture only during crises leads to constant firefighting.

- **Engagement Blindness**

Top talent quietly disengages long before resignation letters appear.

- **Outdated AI-Era Standards**

Parkinson's Law fills available time without updated productivity expectations.

The Foundation Principle

Without reinforcing systems, even widespread personal improvement won't scale impact.

The organization becomes a shell, propped up by process without soul.

Culture follows commitment.

Success Formula

Personal Growth

Individual change is necessary but insufficient alone.

Leadership Modeling

Leaders must embody the behaviors they expect.

Systemic Reinforcement

Systems must align with and reinforce desired behaviors.

Consistent Accountability

Fair standards must apply equally across the organization.

Implementation beats intention - Systems make behavior sustainable

Key Takeaways



Personal Change Is Necessary But Not Sufficient

Individual growth must be supported by aligned systems.



Leadership Teams Are Process Owners

Leaders aren't just senior employees. They own, optimize, and are accountable for key processes.



AI Can 10x Workforce Management

AI multiplies effectiveness only when implemented within well-designed systems.



Update Standards For AI Era

Speed AND quality expectations must rise.



Fire Fast, Hire Systematically

The most critical lever for organizational success.

More Key Takeaways



Communication Prevents Dysfunction

Structured cadences beat hoping for the best.



Culture Needs Reinforcement

Values must be lived, not just stated.



Vision Must Cascade Down

Make vision operational, not just inspirational.



Employee Engagement Needs Systems

Don't wait for exit interviews.



Delegation Requires Time Analysis

Track before you optimize.

Choose ONE category to implement first. Use AI to accelerate, but focus on getting the human foundation right.

Q&A

Your turn to ask your questions about workforce management and leadership.



Your Next Steps

01

Run the Workforce & Leadership Diagnostic

Identify your biggest opportunities for organizational effectiveness, employee engagement, leadership development, and systematic delegation.

02

Create the Level 1 & 2 SOP (Hire to Retire) (Optional)

Create a map of the process (Level 1) as well as blueprints for each functional area within the process (Level 2)

03

Add and Run the AI Hiring Protocol (Optional)

Give Claude the ability to create complete customized hiring packages for any role you want to hire for.

Office Hours

Wednesday, February 25th at 4 pm **ET**

Live Session 9: Execution Systems

Mon March 2 at 10 am PT / 1 pm ET

